Third-Party Risk Management Report

NovaPay Fintech Ltd

1. Executive Summary

NovaPay Fintech Ltd conducted a Third-Party Risk Management (TPRM) assessment to evaluate the security posture and associated risks of its key vendors, including payment processors, cloud service providers and identity verification partners.

The assessment identified several high-risk areas, particularly in access control, data protection and incident response capabilities among critical vendors. While some baseline controls exist, gaps in enforcement, monitoring and formalized processes increase the organization's exposure to security breaches and operational disruptions.

This report outlines key findings, risk ratings and actionable recommendations to strengthen vendor risk governance and ensure alignment with internationally recognized security standards such as International Organization for Standardization ISO 27001.

2. Objective

The objective of this assessment is to:

- Identify risks associated with third-party vendors
- Evaluate vendor security posture
- Ensure compliance with security standards
- Recommend mitigation strategies

3. Scope

This assessment covers selected third-party vendors that:

- Have access to sensitive customer data
- Support critical business operations
- Integrate with NovaPay's infrastructure

4. Methodology

The assessment was conducted using:

- Vendor Risk Assessment Matrix
- Due Diligence Questionnaire

- Risk scoring (Likelihood × Impact)

Vendors were classified into Low, Medium and High risk categories based on their exposure and criticality.

5. Key Findings

High Risk

- Payment processing vendor lacks strong encryption enforcement
- Cloud provider monitoring controls are insufficient

Medium Risk

- Identity verification vendor lacks comprehensive compliance documentation

Low Risk

- Basic security controls are present but require strengthening

6. Risk Analysis Summary

Vendor	Risk Level	Key Issue
PayGate Solutions	High	Weak encryption controls
CloudServe Ltd	High	Insufficient monitoring
VerifyMe Inc	Medium	Compliance gaps

7. Recommendations

To strengthen third-party risk management, NovaPay should:

- Enforce Multi-Factor Authentication (MFA) across all vendors
- Conduct regular vendor security audits
- Implement continuous monitoring of vendor activities
- Establish contractual security requirements (SLAs)
- Require compliance certifications (ISO 27001, SOC 2)

8. Conclusion

The Third-Party Risk Management assessment highlights critical gaps in vendor security practices that could expose NovaPay Fintech Ltd to operational and regulatory risks.

By implementing the recommended controls and strengthening oversight, the organization can significantly reduce its risk exposure and improve its overall security posture.